

FEDERAL MARITIME COMMISSION, WASHINGTON DC
Office of Administrative Law Judges

Muhammad Rana,
Complainant

V.

Michelle Franklin,
D.B.A "The Right Move Inc,"
Respondent

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) Docket No. 19-03
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)
) Served: February 26, 2020
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)

BEFORE: Honorable Erin M.WIRTH, *Administrative Law Judge.*

COMPLAINANT'S PROPOSED FINDINGS OF FACTS

1. The complainant is an individual consumer, who was temporarily relocating his residence from Alexandria, Virginia to Islamabad, Pakistan. The respondent is an individual ocean shipping / freight forwarder who did business as "The Right Move, Inc."
2. On February 6, 2019, the Complainant and the respondent entered into an agreement through electronic mail where the Complainant retained the services of the Respondent. The agreement is simple and straightforward in that the Complainant was to pay a flat rate of \$2500.00 plus \$95.00 documentation fee. In return, the Respondent would arrange for the pick-up of complainant's household goods of personal effect in a 20-foot container and ship / deliver it to the Port Qasim, Karachi, Pakistan for pick up by the Complainant. According to the terms of the agreement, the flat rate included shipping or ocean freight charges from Alexandria, Virginia to Port Qasim, Karachi, Pakistan. The flat rate also included terminal handling or port of loading charges at origin. *See Complainant's exhibits 1 and 2.*
3. As part of the agreement, the Respondent requested the Complainant to wire transfer the payment money directly into the Respondent's account. On February 11, 2019 the Complainant wire transferred \$2595.00 into the Respondent's account. However, the wire transfer was rejected by the Complainant's bank because the account was not registered to the Respondent's company, "The Right Move, Inc."
4. On February 13, 2019 there was a three-way telephonic conversation between the Complainant, the Respondent and the Complainant's bank representative where the Respondent advised the Complainant that the bank account is a personal account and requested the Complainant to wire the money under her personal name "Michelle Franklin." After the telephonic

conversation, on February 14, 2019, the Complainant wire transferred \$2595.00 into the Respondent's personal account under the name Michelle Franklin. On February 15, 2019 the Respondent acknowledged receipt of the wire in an email. *See Complainant's exhibits 3 and 4.*

5. On or after February 15, 2019, the Respondent acquired the services of Troy Container Line, Ltd, to ship complainant's container cargo from Baltimore Port, Sea Grit Terminal, Maryland to Port Qasim, Karachi, Pakistan; via MAERSK Shipping Line to be delivered to TROY's agent in Pakistan CP world, Co, Ltd. *See Complainant's exhibit 6 and 7.*
6. On February 6, 2019, the Respondent knew or reasonably suspected that her company may close soon, but failed to disclose this material information to the Complainant when they entered into a contract. In an email to the Complainant dated April 9, 2019, the Respondent stated that "the booking was done under another company license, because I knew we may get to the point we have to close." *See Complainant's exhibit 27.* This is evidence of bad faith, fraud and deceit. This was a deliberate act of omission by the Respondent who knowingly and recklessly misled the Complainant just to obtain Complainant's business. This information was material because had the Complainant known that the respondent's company may "have to close," he would not have entered into an agreement with the Respondent, nor would have sought Respondent's services. Furthermore, the booking was done under another company's license, which was not relayed to the complainant prior to the agreement, even though in all the correspondence, the respondent used her company's credentials.
7. On or after February 15, 2019, the Respondent was able to somehow convince and induce TROY Container Line, Ltd, to transport Complainant's cargo without prepayment of the actual ocean freight charges. *This fact is supported by Respondent's failure to respond to Complainant's discovery: Request for the Production of Documents 1 and 2.*
8. The Respondent was required to pay TROY port of loading and ocean freight shipping charges, and by failing to pay TROY; the Respondent in bad faith, breached the shipping agreement between the Complainant and the Respondent. All Respondent had to do was pay \$1040.00 to TROY via credit card, money order, cashier's check, money transfer or a regular check. The Respondent had already received \$2595.00, so she had the money to pay TROY, but failed to do so in bad faith. The Respondent knowingly, willingly, acting in bad faith and for monetary gain did not pay TROY Container Line, Ltd, the ocean freight charges despite being paid \$2595.00 by the Complainant. *See Complainant's exhibits 1 and 8. This fact is also supported by Respondent's failure to respond to Complainant's discovery: Request for the Production of Documents 1 through 9 and interrogatories 2 through 11.*

9. The Respondent in bad faith, using unfair means and unfair device encouraged TROY Container Line, Ltd, to collect ocean freight payment from the Complainant on the ground in Karachi, Pakistan, so she would not have to pay TROY in order to profit from this arrangement. *This fact is supported by Respondent's failure to respond to Complainant's discovery: Request for the Production of Documents 1 and 2. See also Complainant's exhibit 8.*
10. The Respondent in bad faith, deliberately misled and misinformed the Complainant about the exact due date of Complainant's shipment. In an email dated March 13, 2019, the Respondent informed the Complainant that his shipment will be arriving in Karachi, Pakistan on April 3, 2019. *See Complainant's exhibit 38.* When in fact the shipment arrived in Karachi, Pakistan on March 31, 2019. *See Complainant's exhibit 39.* The Respondent deliberately misled the Complainant, so he would lose two additional days of free time for the container. This was done to exert more pressure and duress upon the Complainant, so that he would be more amenable to paying for the ocean freight in Karachi, Pakistan. *This fact is supported by Respondent's failure to respond to Complainant's discovery: Request for the Production of Documents 1 and 2. See also Complainant's exhibits 8, 38 and 39.*
11. On April 2, 2019, the Complainant went to MAERSK shipping office in Karachi and found out that TROY's delivery agent in Pakistan, CP World had placed a hold on the Complainant's cargo because the ocean freight and shipping charges were not paid by the Respondent. The Complainant explained to the MAERSK office that ocean freight was prepaid, but MAERKS representative asked to see an endorsement from CP World. *See Complainant's exhibits 18, 19 and 20.*
12. On April 3, 2019, onwards the Complainant was repeatedly informed verbally by the TROY's delivery agent, that the Respondent did not pay ocean freight shipping dues for Complainant's cargo, as a result the Complainant's cargo cannot be released until full payment was received from the Respondent. TROY's agent in Pakistan C.P World representative told the Complainant that the Respondent was engaged in "shipping fraud," because she secured passage of Complainant's cargo without payment and had no intention of paying TROY. When the Complainant reached out to the Respondent, the Respondent claimed that full payment had been paid via a third party. *See Complainant's exhibits 22, 23, 24 and 27.*
13. Despite not paying Ocean Freight dues, from April 5, 2019 until April 10, 2019, the Respondent in bad faith continued to deceitfully claim via email that she had paid the shipping dues albeit via a third party and that the payment should clear soon. However, when requested by the Complainant, the Respondent in bad faith did not provide any evidence of payment and stated in an email that, "I paid the fees you have to believe me." *See Complainant's exhibits 23 and 24. This fact is also supported by Respondent's failure to respond to Complainant's discovery: Request for the Production of Documents 6 through 9 and interrogatories 2 through 11.*

14. The Respondent acting in bad faith falsely claimed that she paid a third party to pay TROY for ocean and shipping. The Respondent made up this fictitious story to try and convince the Complainant to pay ocean and shipping dues in Karachi, so she could keep the ocean and shipping charges for herself. It is highly unlikely and would have been unreasonable for the Respondent to pay a third party when all she had to do was pay TROY directly. This demonstrates that the Respondent knowingly and willfully acted in bad faith and deceit. *See Complainant's exhibits 23 and 24. This fact is also supported by Respondent's failure to respond to Complainant's discovery: Request for the Production of Documents 6 through 9 and interrogatories 2 through 11.*
15. The Respondent made non-credible, inconsistent and deceitful claims about ocean payment.
- a. In emails to the Complainant, the Respondent claimed that she paid the ocean to a "third party" who in turn was going to pay TROY; and that for some unknown reason the "third party" never paid TROY, but issued a refund to the Respondent. *See Complainant's exhibits 23, 24, 28 and 33.*
 - b. In her official Response to the Complaint, the Respondent told the Honorable Judge that "the payment that was submitted was applied towards an old shipment that was still pending." It is to be noted that in her official response to the complaint, the Respondent made no mention of a "third party" that was used to pay TROY. *See Respondent's official response to the complaint dated 8/13/19.*
 - c. Finally in her response to Complainant's discovery, the Respondent admitted that "the Ocean was not paid. That is agreeable." *See Respondent's response to Complainant's discovery.*

The Respondent's contradictory statements here are clear evidence of deceit and bad faith. *This fact is also supported by Respondent's failure to respond to Complainant's discovery: Request for the Production of Documents 1 through 9 and interrogatories 2 through 11.*

16. On April 9, 2019, CP World officially issued a letter explaining that because the Respondent had not paid for shipping, Complainant's cargo cannot be released. On April 9, 2019, TROY's agent CP World for the first time officially gave an alternative option for the Complainant to pay the shipping dues out of pocket owed by the Respondent in order to receive the cargo. *See Complainant's exhibit 8.*
17. On April 10, 2019, the Complainant paid CP World charges owed by the Respondent in the amount of 157,000 Pakistani Rupees. *See Complainant's exhibit 9.*
18. On April 10, 2019, after payment to CP World, when the Complainant went to get the delivery order from MAERSK Shipping company in Karachi, the complainant was informed that the 7-day free time had ended and was asked to pay an additional \$605.00 in container charges (demurrage and detention) beyond the regular 7-day free time at a standard rate of \$55.00 per day. *See Complainant's exhibit 10.*

19. The Complainant had brought dollars in cash with him for the customs duty, truck rental and port charges, but had to use it to pay CP World, after which the Complainant was out of cash and didn't have money for the container charges. After this, because the Complainant did not have a bank account in Pakistan; he depended on wire transfers and remittances from his US bank account, which can take from 2 to 3 business days. Plus, all banks and ocean freight shipping related offices are closed over the weekend in Pakistan. Furthermore, MAERSK Shipping Company and shipping agents in Pakistan do not accept credit cards. *See Complainant's exhibit 41 page 2 of 3.*
20. On April 15, 2019, after the weekend and after receiving additional cash, the Complainant paid MAERSK shipping office in Karachi 85,000 rupees container charges through a shipping agent. *See Complainant exhibits 11 and 13.*
21. After the payment was made Complainant's cargo was released for customs inspection at Port Qasim. On April 16, 2019 through April 19, 2019, the Complainant's cargo underwent the procedural / routine customs inspection, requirements and paperwork. *See Complainant's exhibit 41 page 2 of 3.*
22. On April 20, 2019, after receiving clearance from Pakistan's Customs Department, the cargo was not allowed to leave Port Qasim because the 'No Objection Certificate (NOC)' that was previously issued by TROY's agent CP World expired. The Port Qasim Authority required the renewal of the No Objection Certificate from CP World. *See Complainant's exhibit 41.*
23. On Monday, April 22, 2019, when the CP World offices opened after the weekend, the NOC was renewed. During this time additional 6 days of container charges (demurrage and detention) for MAERSK container had accumulated. *See Complainant's exhibit 41, page 2 of 3.*
24. On April 22, 2019, the Complainant paid an additional 47, 536 rupees to MAERSK for container charges through a shipping agent. *See Complainant exhibits 12, 13 and 41 page 3 of 3.*
25. On April 23, 2019, Complainant's cargo finally left Port Qasim, Karachi for Islamabad. *See Complainant's exhibit 41 page 3 of 3.*
26. On April 23, 2019, the Complainant had to pay 385,000 Rupees (PKR) for lodging at a local hotel for 21 nights in Karachi. This was for the duration of time the Respondent had to spend in Karachi while his cargo was held at Port Qasim, Karachi. *See Complainant's exhibits 14 and 41 page 3 of 3.*
27. During this time the Respondent in bad faith repeatedly made false and misleading statements about making payment to the Complainant.

- a. On April 5, 2019, the Respondent stated in an email that “I talked to the company and they are sending the payment today, but it may take a few days. *See Complainant’s exhibit 24.*
 - b. On April 9, 2019 the Respondent stated in emails:
 - i. “The company I paid the money to, needs to know if to refund me, so I can refund you.” *See Complainant’s exhibit 28.*
 - ii. “I strongly suggest you pay directly and I will refund you, probably no later than Friday.” *See Complainant’s exhibit 30.*
 - iii. “I have been asking them to pay it for the last 4 days, they should be able to pay it today or tomorrow.” *See Complainant’s exhibit 32.*
 - c. On April 10, 2019 in another email the Respondent stated, “I am confirming that the money was sent back to me, and I should be able to pay by Friday.” *See Complainant’s exhibit 33.*
 - d. On April 17, 2019 the Respondent stated, “I will send you a refund shortly.” *See Complainant’s exhibit 34.*
 - e. On April 19, 2019 the Respondent stated that “the payment will be concluded in a day or 2, of course I will try to pay as much as I am responsible for.” *See Complainant’s exhibit 35.*
 - f. On May 30, 2019, the Respondent stated, “a wire of \$1025 was initiated yesterday. You should have the payment tomorrow in the bank account you have provided. The amount is the ocean cost that we failed to pay in time.” This was clearly a false statement made knowingly, willfully and in bad faith because a wire transfer was never initiated by the Respondent. *See Complainant’s exhibit 36.*
28. The Respondent profited financially by not paying ocean and shipping charges to TROY Container Line, Ltd. The Complainant paid the Respondent \$2595.00, from that amount the Respondent was to pay TROY Container Line, Ltd. \$1040.00. Because the Respondent did not pay TROY, the Respondent was able to profit financially in the amount of \$1040.00. This fact is undisputed that the Respondent did not pay TROY for ocean and shipping nor did the Respondent pay Complainant. *This fact is also supported by Respondent’s failure to respond to Complainant’s discovery: Request for the Production of Documents 1 through 9 and interrogatories 2 through 11.*
29. On August 13, 2019, the Respondent – in bad faith – made false statements to the Honorable Judge.
- a. In the Respondent’s, 8/13/2019, response to the Complaint, the Respondent claimed that “Mr. Rana was one of the last few customers we had to finish before we chose to close the company and surrender our FMC license.” This was a false statement because the respondent did not voluntarily surrender her license. According to the Commission website, the respondent’s license was revoked because of failure to maintain a valid bond. On the website page, in a long list of OTI’s who voluntarily surrendered their license, the Respondent’s license is listed as being revoked. Clearly the Respondent

must have known about the revocation, but chose to willfully, knowingly and in bad faith lie about it to the Honorable Judge. See <https://www.fmc.gov/oti/revocations-july-12-2019/>. See also *Complainant's exhibit 37*.

- b. On 8/13/2019, the Respondent also told the Honorable Judge that "finally Mr. Rana provided me a family member bank details to wire the money." This is clearly a false statement made deliberately by the Respondent to mislead the Honorable Judge. Complainant never provided a family member's bank details to the Respondent. The Complainant provided the Respondent with his bank details at least twice. See *Complainant's exhibits 25 and 26*. Furthermore, in an email dated May 30, 2019, the Respondent told the Complainant that "you should have the payment tomorrow in the bank account you have provided." Clearly, here the Respondent is acknowledging that she had the Complainant's bank details. See *Complainant's exhibit 36*.
- c. On 8/13/2019, the Respondent also told the Honorable Judge that "Shipment arrived on April 3, On April 5th customer agreed to pay the ocean at destination, but only paid it on April 10 resulting in additional delays."
 - i. Here first the Complainant would like to point out that the Respondent on March 13, 2019 told the Complainant in an email that the "shipment is due in Karachi by April 3." See *Complainant's exhibit 38*. Even though, the shipment actually arrived in Karachi on March 31, 2019. See *Complainant's exhibit 39*.
 - ii. Second the Complainant never agreed to pay ocean on April 5, 2019 as falsely alleged by the Respondent. The Complainant only agreed to pay the ocean in Karachi on April 9, 2019, after being offered to do so by TROY's agent C.P World. The Complainant did so under duress in order for C.P World to release Complainant's belongings of sentimental value and important documents released, that were in the cargo being withheld by C.P World. See *Complainant's exhibit 40*.
- d. On 8/13/2019, the Respondent also told the Honorable Judge that "Mr. Rana kept asking me to pay his port fees, which are excluded and would have applied regardless." The Complainant would like to point out that this is another false statement made by the Respondent in bad faith, because never has the Complainant ever asked the respondent to pay port fees. The Complainant paid the port fees out of pocket and is not asking for the port fees in this Complaint either. Also the Complainant never asked for demurrage before this complaint and never did the Respondent offer to pay some of the demurrage prior to settlement discussion in November 2019. See *Complainant's exhibit 40*.

30. The Respondent Michelle Franklin is or was the sole owner of The Right Move, Inc. See *Respondent's response to Complainant's discovery, document request 12*.

31. From February 2019 to date, the person Michelle Franklin has been and still is the sole spokesperson, representative, owner, advocate and employee of The Right move, Inc.
32. The Right Move Inc has failed to observe corporate formalities in terms of documentation. *This fact is supported by Respondent's failure to respond to Complainant's discovery: Request for the Production of Documents 10 through 15.*
33. The assets and finances of the person Respondent Michelle Franklin and The Right Move Inc, inter-mingled on a normal and routine basis. The assets and the finances of the Right Move Inc and the person Michelle Franklin are or were one and the same. *See Complainant's exhibit 3. This fact is supported by Respondent's failure to respond to Complainant's discovery: Request for the Production of Documents 10 through 15.*
34. The Right Move Inc is not a separate entity from Michelle Franklin, and that The Right Move Inc is or was taxed through Michelle Franklin's personal tax returns. *This fact is supported by Respondent's failure to respond to Complainant's discovery: Request for the Production of Documents 13 through 15.*
35. The person Michelle Franklin treated the funds and assets of the Right Move Inc as her own. *See Complainant's exhibit 3. This fact is supported by Respondent's failure to respond to Complainant's discovery: Request for the Production of Documents 13 through 15.*
36. The Right Move Inc, was being used by Michelle Franklin as a façade for her personal financial dealings and not as a separate corporate entity. *See Complainant's exhibit 3. This fact is supported by Respondent's failure to respond to Complainant's discovery: Request for the Production of Documents 10 through 15.*
37. The Respondent has refused to answer Complainant's discovery thereby denying Complainant discovery that is relevant and necessary to pursue his claim. Of the Complainant's 17 document requests, the Respondent did not provide any documents. She did respond to two of the requests, indicating that no documents exist for document request 12 ("No partnership agreements available") and document request 16 ("None exist" regarding whether there are any complaints, lawsuits, litigation or civil actions against Respondent where a violation of section 41102(c) was alleged."). For the interrogatories, Complainant responded to only three of the thirteen questions, including interrogatories 1 (who answered), 12 (amount of bond), and 13 (a partial answer to why the OTI bond was revoked). It is to be noted the Complainant had requested the Respondent to answer the interrogatories under oath and under penalty of perjury; none of the three responses were under oath or under penalty of perjury.
38. Complainant's original Complaint for Formal Adjudication was notarized and under oath. All of Complainant's pleadings to date have been signed and certified. Additionally, the Complainant is submitting sworn notarized statements under oath and under penalty of perjury (*see exhibits*

40 and 41) with his Proposed Facts and Final Brief. On the other hand, the Respondent to date has never signed a single pleading or a response in this case, and has never stated anything under oath or under penalty of perjury. This fact gives credence to Complainant's statements and claims, whereas it adds incredulity to the Respondent's statements and assertions.

39. Respondent's failure to pay for the ocean freight of Complainant's cargo set in motion a series of events and circumstances that caused financial damages / losses to the complainant. *See Complainant's exhibit 41.*
40. The complainant had to additionally pay, TROY's agent CP World, out of pocket \$1,107.97 (157,000 Rupees) owed by the respondent to get the cargo released. *See Complainant's exhibit 8 and 9.*
41. The Complainant had to pay an additional \$55.00 per day container demurrage / detention charge for 17 days (April 7th through April 23rd), a total of \$935.00 (132,536.00 rupees); this was beyond the 7-day free time, because of the delay caused by the respondent's failure to pay ocean freight. *See <https://www.maersk.com/en/local-information/pakistan/import>. See also Complainant's exhibits 10, 11, 12, 13 and 41 page 3.*
42. The Complainant had intended to stay in Karachi for only 3 nights for the customs clearance process. However, due respondent's failure to pay the shipping, the complainant had to stay at a hotel in Karachi for additional 18 nights, and pay a total of 388,500 Rupees in hotel lodging at a rate of 18,500 rupees per night. For the additional 18 nights lodging the total comes out to 333,000 rupees or \$2,350.03. *See Complainant's exhibit 14 and 41 page 3.*
43. The complainant had to pay taxi charges at the least in the amount of about \$7.76 (1100 Rupees) per day or \$116.40 for 15 days to get to and from MAERSK Office, CP World Office, Western Union, Port Qasim and hotel etc.
44. The complainant had intended to stay in Karachi for only 3 days. However, due respondent's failure to pay shipping, the complainant had to stay at a hotel in Karachi for additional 18 days resulting in meals and incidental expenses (M&IE) incurred by the complainant. According to the U.S State Department the M&IE rate set for Karachi is \$82 per day. The total M&IE comes out to 18 X \$82 = \$1,476.00. *See https://aoprals.state.gov/web920/per_diem_action.asp?MenuHide=1&CountryCode=1166*
45. In April 2019, the price of dollar in the open market against the rupee fluctuated between 141 to 142 rupees per dollar. Therefore, the exchange rate used in this calculation is 141.70 rupees per dollar, which was also the rate used by MAERSK shipping company. *See Complainant's exhibit 41, page 3.*

Respectfully submitted by,



Muhammad J.Rana (Complainant)

I hereby certify that, on February 26, 2020, a copy of the foregoing attached Complainant's Proposed Finding of Facts was sent to the following by the method indicated below:

FMC Administrative Judge
Erin M. Wirth

VIA UPS: Federal Maritime Commission
800 North Capitol Street, N.W
Washington, D.C 20572
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Michelle Franklin
D.B.A The Right Move, Inc.

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Muhammad J.Rana (Complainant)